

Stablecoin Yield

The price of yield: persistence, mechanisms and TVL response in stablecoin DeFi

CENTRAL CLAIM

Stablecoin APY becomes interpretable only when duration, TVL, mechanism and peg context are shown together.

Yield as a regime, not a ranking.

Evidence snapshot

A compact view of the analytical scale

250

POOLS

137k

POOL-DAYS

4.3%

POOL-DAY MEDIAN APY

2

MEDIAN EPISODE DURATION

Yield is a regime, not a rank

Five questions turn a volatile pool universe into evidence that can be defended without making recommendations.

ONE ANALYTICAL GRAIN

POOL × DAY

Each observation connects yield level, capacity, mechanism and market context at a defensible temporal resolution.

Boundary: APY is quoted annualized APY. TVL change is an observed proxy, not direct wallet-level flow.

01

How long do episodes at or above 10% APY last?

02

Which mechanisms explain headline APY?

03

How stable are top-yield rankings?

04

What changes during peg stress?

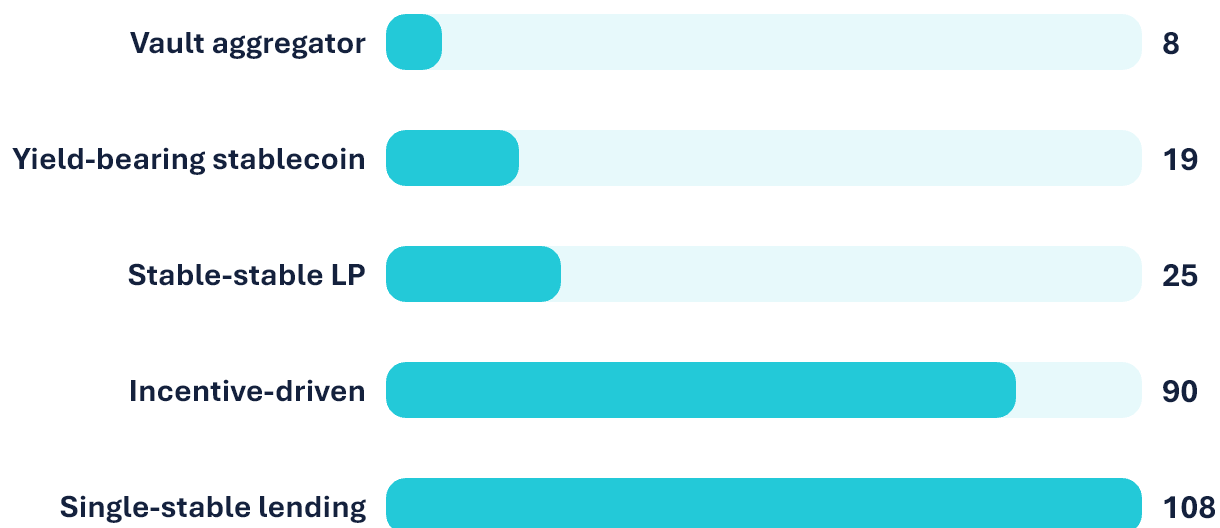
05

Which pools clear all three thresholds?

The sample is broad, but deliberately selected

2022-02-11 to 2026-07-08 | 137,095 pool-days | unbalanced panel

Selected pools by analytical type



SELECTION LOGIC

Eligibility	Stablecoin pool, TVL $\geq$ USD 1M, at least 180 provider history observations.
Cap of 250	70% highest TVL; remaining capacity highest current APY. No random sampling claim.
Entry and exit	Observed pool-specific dates only. No synthetic backfill or balanced-panel imputation.

Data quality 26 missing TVL rows | 32 APY > 1,000% flagged, not hidden

Four definitions make the analysis auditable

Each result has an explicit threshold, comparison window and interpretation boundary.

01

High-yield episode

APY at or above 10%; contiguous observed run; one missing calendar day tolerated; active runs right-censored.

Kaplan-Meier retains censored episodes.

02

Ranking churn

1 - intersection share of top-k sets at t and t+h; k = 10 or 20; h = 1, 7 or 30 days.

Stability diagnostic, not a leaderboard.

03

APY-jump event

Daily APY increase of at least 5 percentage points and level at or above 10%; maximum 3 events per pool; window -7 to +30 days.

453 events at day 0; TVL remains observational.

04

Joint threshold screen

Above the sample medians for pool-level APY, persistence and TVL at the same time.

Descriptive three-threshold screen; not a Pareto frontier.

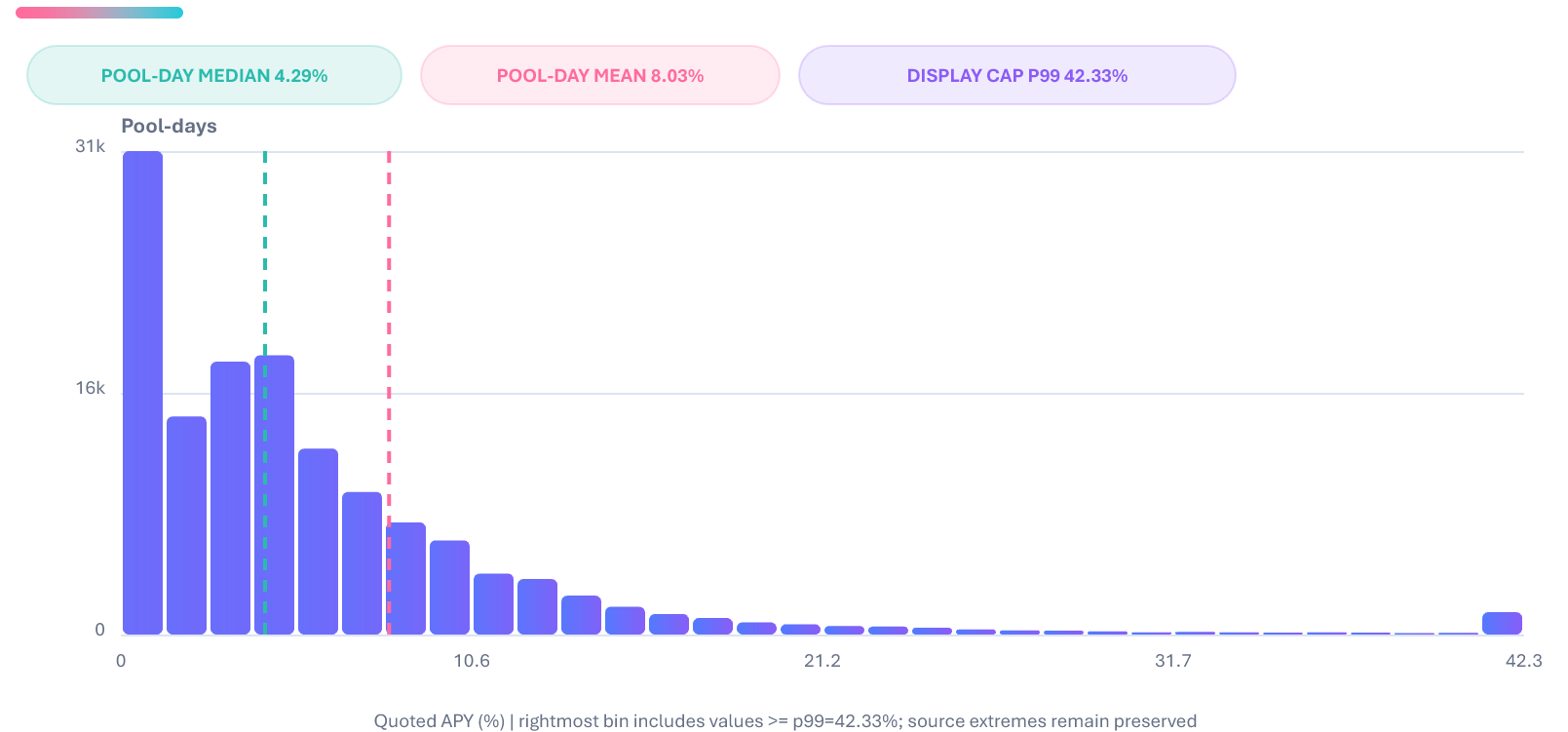
Headline APY needs robust summaries

Why are headline APY values hard to compare?

WHAT THE CHART SAYS

Pool-day median APY is 4.29% while the pool-day mean is 8.03%.

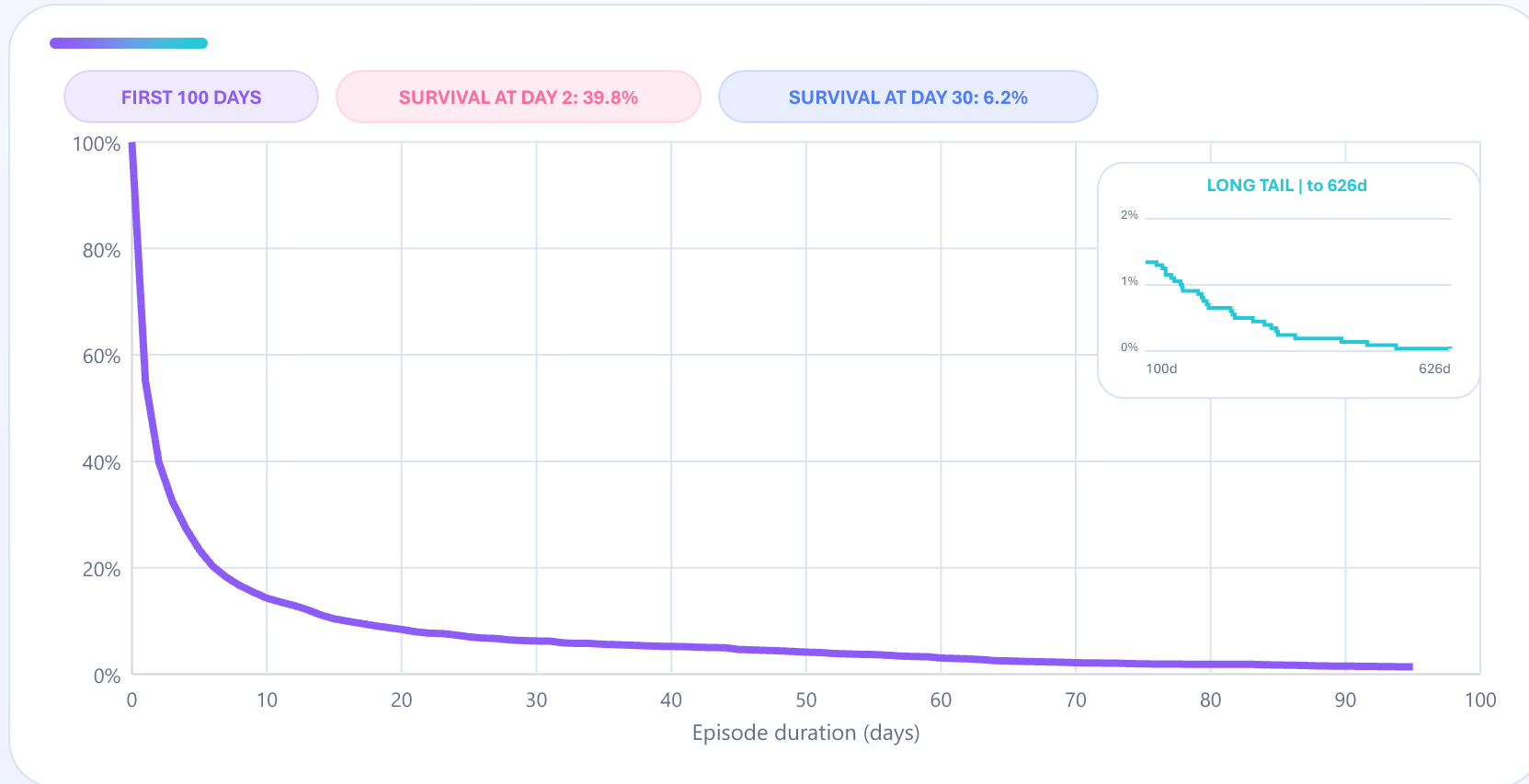
- Pool-day median APY: 4.29%
- Pool-day mean APY: 8.03%
- Extreme observations are flagged and preserved



Source: DeFiLlama, CoinGecko fallback checks and protocol documentation. APY is quoted, not realized return.

High yield usually behaves like a short regime

How long do episodes at or above 10% APY last?



WHAT THE CHART SAYS

The median high-yield episode lasts 2 days; only 6.2% remain after 30 days.

- 2,668 episodes at or above 10% APY
- Median duration: 2 days
- 6.2% survive beyond 30 days

Source: DeFiLlama, CoinGecko fallback checks and protocol documentation. APY is quoted, not realized return.

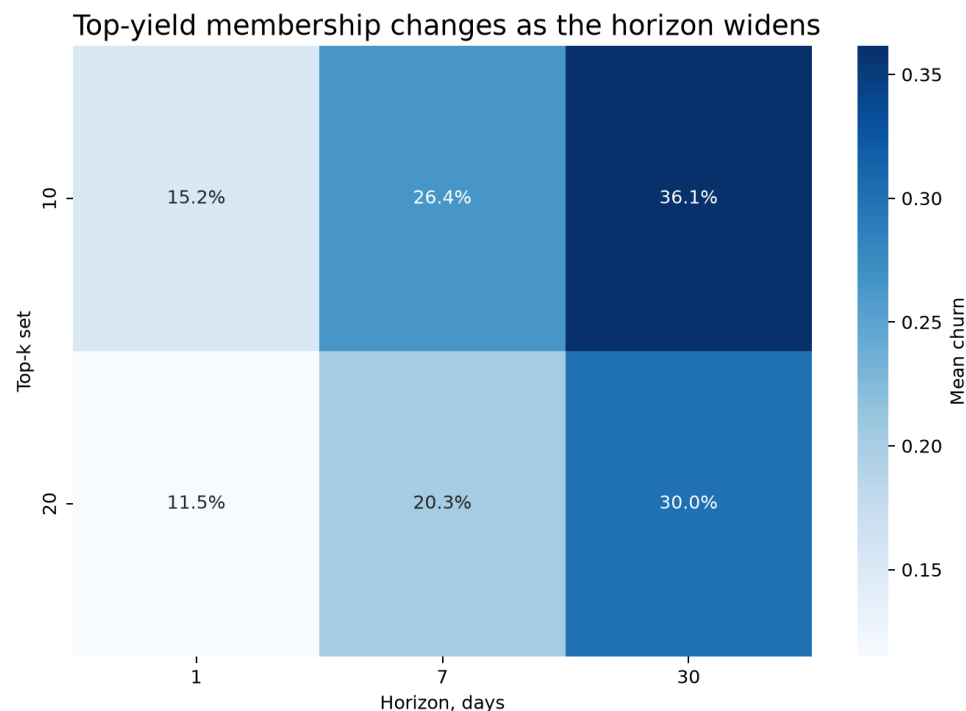
Top-yield membership changes with horizon

Do top-yield pools stay at the top?

WEIGHTED AVERAGE

Weighted by valid date × top-k comparisons, churn rises from 13.5% after 1 day to 33.3% after 30 days.

- 1 day: 13.5% (n=2,669)
- 7 days: 23.6% (n=2,657)
- 30 days: 33.3% (n=2,612)



Sources: DeFiLlama, CoinGecko and selected official protocol documentation. APY is annualized quoted APY, not realized return.

Source: DeFiLlama, CoinGecko fallback checks and protocol documentation. APY is quoted, not realized return.

Mechanism changes what headline APY means

What sits behind headline APY?

Median APY components by pool type



INTERPRETATION

Components prevent false equivalence

90.3%

Base APY coverage

61.6%

Reward APY coverage

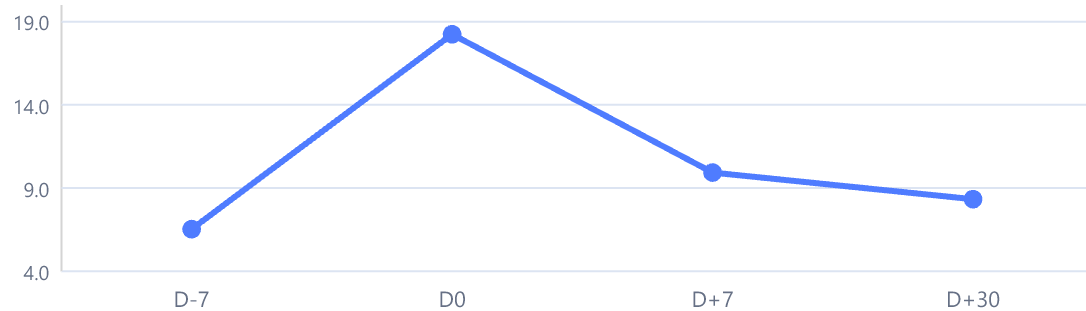
Reward-heavy pools and lending pools should not be read as the same yield mechanism.

Sources: DeFiLlama, CoinGecko and selected official protocol documentation. APY is quoted, not realized return.

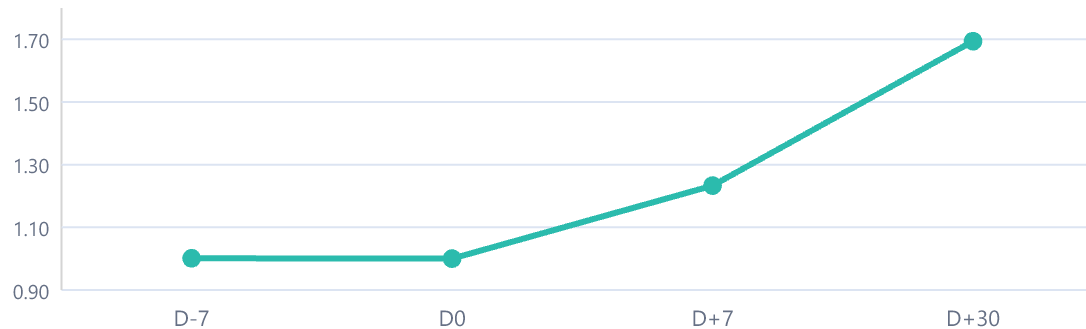
APY falls faster than TVL responds

What happens after an observed APY jump?

Median quoted APY



Median normalized TVL



OBSERVED RESULT

18.24% → 8.33%

Median APY from event day to day 30

453

Events observed at day 0

1.69x

Median normalized TVL at day 30

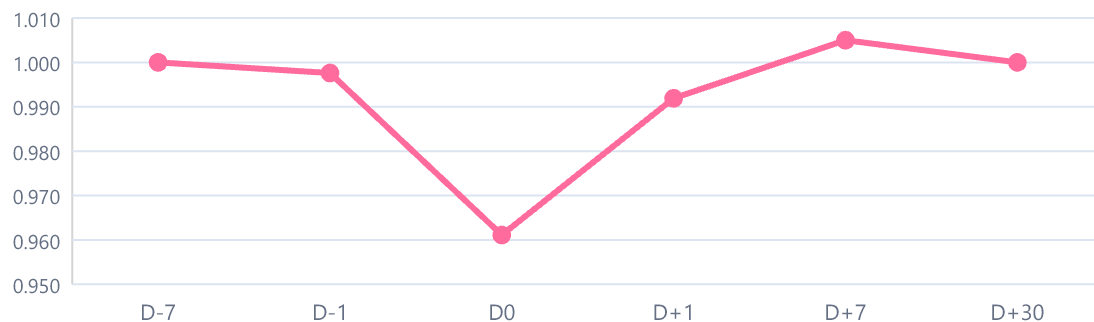
Observed TVL response, not a causal capital-flow estimate.

Trigger: 1-day APY increase of at least 5 pp and APY at or above 10%; max 3 events per pool.

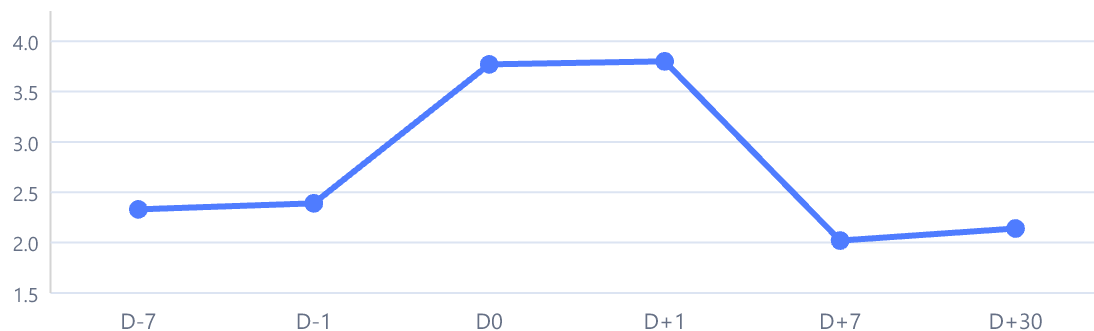
Peg stress changes the denominator behind yield

What changed during the March 2023 USDC depeg?

USDC price



Median exposed-pool APY (%)



USDC / 12 MAR 2023

\$0.9611

Minimum observed USDC price

+1.38 pp

Median APY, day -1 to day 0

10

Exposed pools in the window

One reviewed case study; descriptive context, not a general depeg causal estimate.

Sources: DeFiLlama, CoinGecko and selected official protocol documentation. APY is quoted, not realized return.

Only 15.2% clear all three descriptive thresholds

Which pools combine APY, persistence and capacity?

THREE-MEDIAN SCREEN

38 of 250 pools

clear APY, persistence and TVL thresholds simultaneously

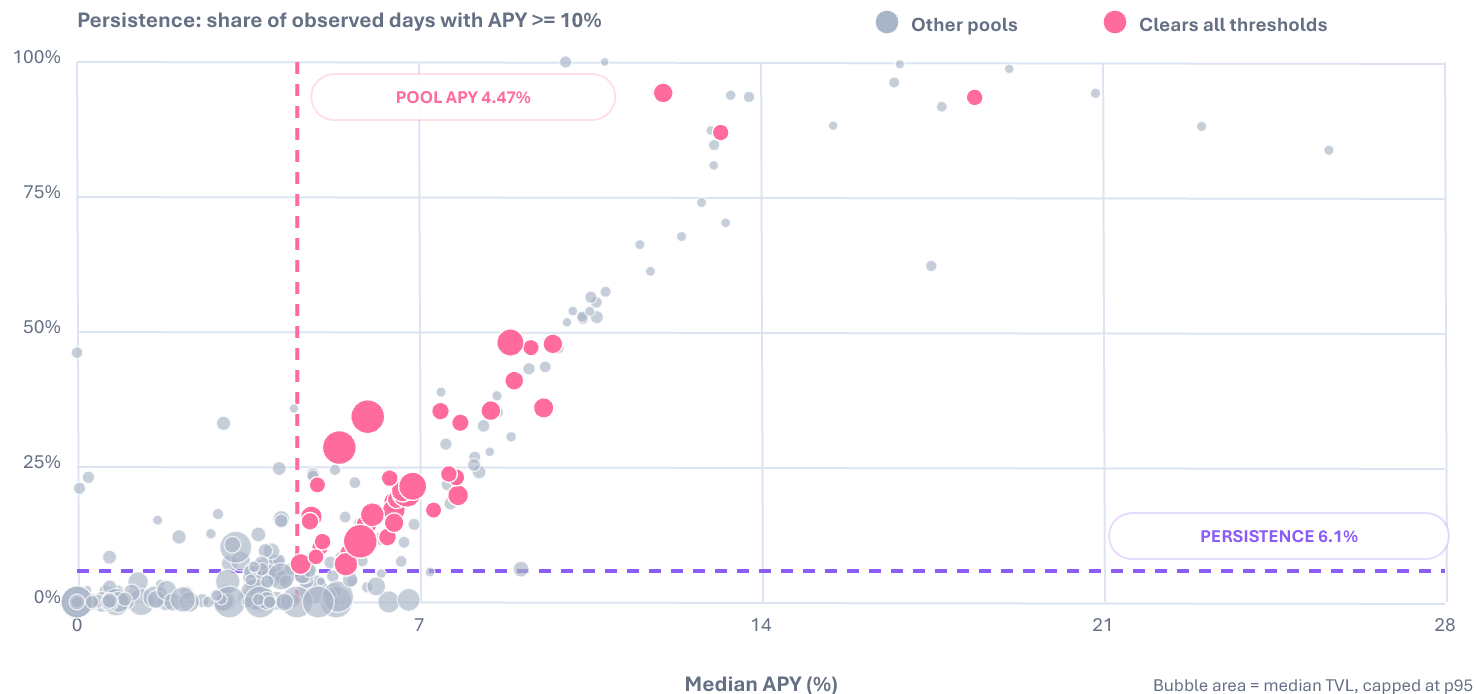
4.47%

Pool-level median APY threshold

6.1%

Persistence threshold

Bubble size = median TVL. This is not a Pareto frontier.

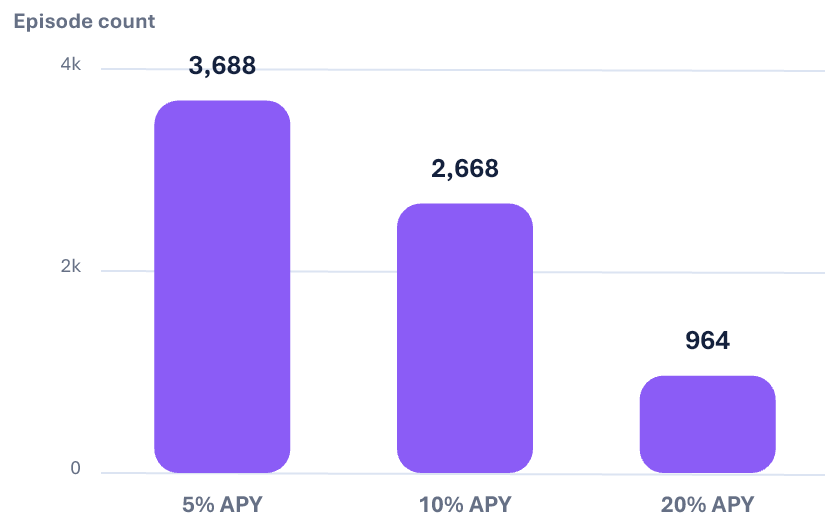


Sources: DeFiLlama, CoinGecko and selected official protocol documentation. APY is quoted, not realized return.

The main duration result survives alternative thresholds

Does the short-episode conclusion depend on one threshold?

Episode count changes; median duration does not



2 days

median duration at 5%,
10% and 20% APY
thresholds

Counts: 3,688 | 2,668 | 964

FIVE CHECK FAMILIES

APY threshold	5%, 10%, 20%
Minimum TVL	USD 0.5M, 1M, 5M
History length	90, 180, 365 days
Episode gap	0, 1, 3 days
Winsorization	p1 to p99

Robustness changes sample size and episode count; it does not turn quoted APY into realized return.

Market context is not total protocol risk

What does the project deliberately not claim?

MEASURED HERE

What the evidence supports

- Quoted APY level and persistence
- Observed TVL and reward components
- Top-k membership stability
- Stablecoin peg context
- Data quality and sensitivity checks

NOT MEASURED HERE

What the project cannot rank

- Smart-contract and oracle failure
- Counterparty and collateral quality
- Bridge, chain and governance risk
- Executable liquidity and slippage
- Investor-specific realized return

Ethical consequence: no pool ranking, no hidden safety score and no financial recommendation.

Stablecoin yield is best shown as trade-offs

The project closes on three lenses that keep a volatile number interpretable.

ONE SENTENCE DEFENSE

High stablecoin yield is common in snapshots. Persistent high yield with capacity and interpretable risk context is rarer.

PERSISTENCE

Under the main 10% definition, the median episode lasts 2 days, so duration matters as much as level.

CONTEXT

Mechanism, reward dependence and peg stress change what a nominal APY number means.

RESPONSIBLE DESIGN

The joint screen keeps APY, persistence and capacity visible without encoding a recommendation.

Reproducible by design: raw envelopes, canonical tables, quality checks, figures, report and deck are regenerated by one pipeline.